

Chart Pattern Handbook

22 classical setups from the supplied video, turned into a practical handbook with graphics, recognition rules, breakout logic, targets, invalidation, and failure filters.

Inside

- One page per pattern
- Entry, stop, target, and context notes
- Mapped to the video's labels
- Execution and risk checklist

Built as a companion guide to the referenced YouTube lesson on classical chart patterns.

Educational use only - not individualized investment advice.

Pattern families

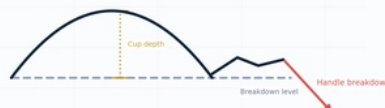
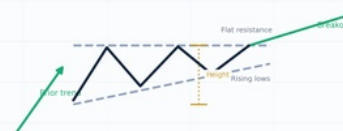
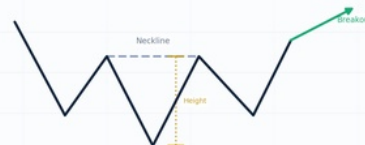
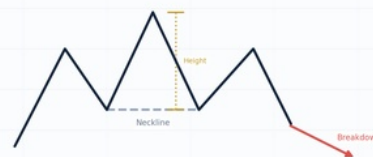
Reversals

Continuations

Triangles

Volatility expansions

Bases and tops



A fast visual tour of the setup families covered inside

How to use this handbook

The setup is the structure; the trigger is confirmation.

The referenced video repeatedly emphasizes that pattern names are not enough on their own. The edge comes from combining the pattern with higher-timeframe context, nearby zones, lower-timeframe confirmation, and disciplined risk management.

1. Start with the bigger picture

- Mark higher-timeframe support, resistance, trendlines, and major swing highs/lows first.
- A bullish pattern at major demand means more than the same pattern in the middle of nowhere.
- Use the higher timeframe to decide whether you want continuation, reversal, or no trade.

2. Treat levels as zones, not precise ticks

- Real markets often reverse slightly above or below your drawn line.
- Give important areas breathing room and avoid demanding perfect textbook symmetry.
- Use the pattern to frame risk, but allow the market to be imperfect.

3. Wait for confirmation

- A breakout, neckline break, or clear lower-timeframe trend change is the trigger - not the shape alone.
- For aggressive entries, use the breakout-retest. For conservative entries, wait for the closing confirmation.
- A sharp wick at a level is information, not automatic permission to trade.

4. Plan invalidation before the target

- Stops belong beyond structural failure points: shoulder highs/lows, triangle pivots, flag extremes, or handle lows/highs.
- Project targets with measured moves, but trim earlier if major support or resistance sits in the way.
- If the reward-to-risk is weak because the stop is too wide, pass the trade.

Execution flow

Mark zone

Identify pattern

Wait for break

Confirm structure

Manage risk

Use this sequence on every page: context first, pattern second, trigger third, risk always.

Exact labels from the video matched to handbook pages.

Pattern labels referenced in the video

Some labels describe the same geometry with different breakout directions; those are split into separate actionable pages here.

Video label	Handbook section	Page	Bias
Head and Shoulders	Head & Shoulders	5	Bearish
Reverse Head and Shoulders	Inverse Head & Shoulders	6	Bullish
Double Top	Double Top	7	Bearish
Double Bottom	Double Bottom	8	Bullish
Triple Top	Triple Top	9	Bearish
Triple Bottom	Triple Bottom	10	Bullish
Rising Wedge	Rising Wedge	11	Usually bearish
Falling Wedge	Falling Wedge	12	Usually bullish
Bullish Rectangle	Bullish Rectangle	13	Bullish
Bearish Rectangle	Bearish Rectangle	14	Bearish
Bullish Flag	Bullish Flag	15	Bullish
Bearish Flag	Bearish Flag	16	Bearish
Bullish Pennant	Bullish Pennant	17	Bullish
Bearish Pennant	Bearish Pennant	18	Bearish
Bullish Symmetrical Triangle	Bullish Symmetrical Triangle	19	Bullish if upside break
Bearish Symmetrical Triangle	Bearish Symmetrical Triangle	20	Bearish if downside break
Symmetrical Contracting Triangle	See symmetrical triangle pages	19-20	Directional only after break
Bullish Expanding Triangle	Bullish Expanding Triangle	21	Bullish if upside break
Bearish Expanding Triangle	Bearish Expanding Triangle	22	Bearish if downside break
Bullish Ascending Triangle	Ascending Triangle	23	Usually bullish
Ascending Triangle	Ascending Triangle	23	Usually bullish
Bearish Descending Triangle	Descending Triangle	24	Usually bearish
Descending Triangle	Descending Triangle	24	Usually bearish
Cup & Handle	Cup & Handle	25	Bullish
Reverse Cup & Handle	Reverse Cup & Handle	26	Bearish

Use these formulas only after the market actually confirms the pattern.

Three universal filters

- The cleaner the prior trend, the more meaningful the pattern.
- The closer price is to the apex of a triangle, the lower the edge often becomes.
- Measured moves are guides - not guarantees - so always check nearby support and resistance.

Family-level checklist

Pattern family	Confirmation	Typical target	Best context
Head & shoulders / inverse	Neckline break	Head-to-neckline height	Mature trend near major resistance or support
Double / triple tops & bottoms	Neckline break	Range height	Repeated tests of the same zone
Rising / falling wedges	Boundary break	Widest wedge section or next major zone	Trend still moving, but momentum fading
Rectangles	Breakout or breakdown from the box	Box height	Impulse move followed by a sideways pause
Flags & pennants	Exit from the flag or pennant	Pole projection	Strong momentum trends with shallow pullbacks
Symmetrical triangles	Actual break direction	Widest triangle section	Volatility contraction before expansion
Expanding triangles	Decisive close outside the broadening range	Widest section, managed actively	Highly volatile swings - reduce size
Ascending / descending triangles	Flat level gives way	Triangle height	Repeated pressure against one side of the market
Cup & handle / reverse	Handle or rim break	Cup depth	Rounded base or rounded distribution

Skip it when...

- The break has no room before major opposing liquidity.
- The triangle has drifted too close to its apex.
- The stop is wide enough to ruin the reward-to-risk.

Best confirmation

- A close outside the pattern is stronger than a wick.
- Breakout-retest entries can improve structure but will miss some fast moves.
- Momentum expansion after the break matters.

Target reality

- Measured moves are a planning tool, not a promise.
- Scale out sooner when support or resistance sits in the path.
- Broadening patterns need active management.

Head & Shoulders

Video label(s): Head and Shoulders

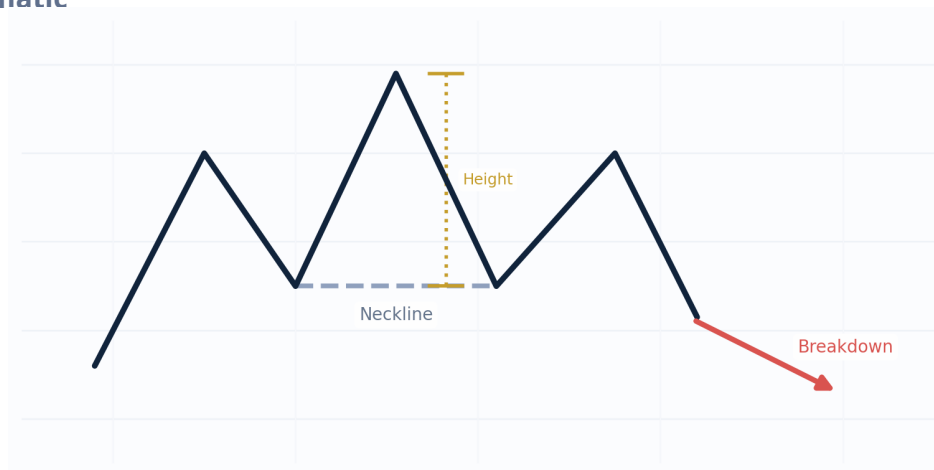
Trigger: Break below neckline

p. 5

Bearish

Reversal

Pattern schematic



Video lens: the shape finds the setup, but the actual trade still needs context, a confirming break, and a clean invalidation level.

How to identify it

- A prior uptrend forms a left shoulder, a higher head, and a lower right shoulder.
- The neckline connects the two reaction lows; a flat or slightly tilted neckline is common.
- The pattern is stronger when the right shoulder stalls quickly instead of making a fresh impulse.

What it usually signals

- It signals that upside momentum is fading and buyers can no longer extend the trend cleanly.
- The neckline break is the structural confirmation that the swing sequence has shifted from higher highs to potential lower lows.

Recommended trade plan

- Conservative entry: wait for a close below the neckline. Aggressive entry: short a weak retest that rejects the neckline from underneath.
- Place invalidation above the right shoulder or above the failed retest high, not directly on the neckline.
- Project the distance from the head to the neckline downward for a measured objective, then respect nearby support on the way.
- Best context: late-stage rallies, higher-timeframe resistance, and clear loss of momentum into the right shoulder.

Failure signs and filters

- Price reclaims the neckline quickly and then takes out the right-shoulder high.
- The pattern forms in choppy mid-range conditions instead of after a mature uptrend.
- The breakdown happens straight into major support with little room for follow-through.

Inverse Head & Shoulders

Video label(s): Reverse Head and Shoulders

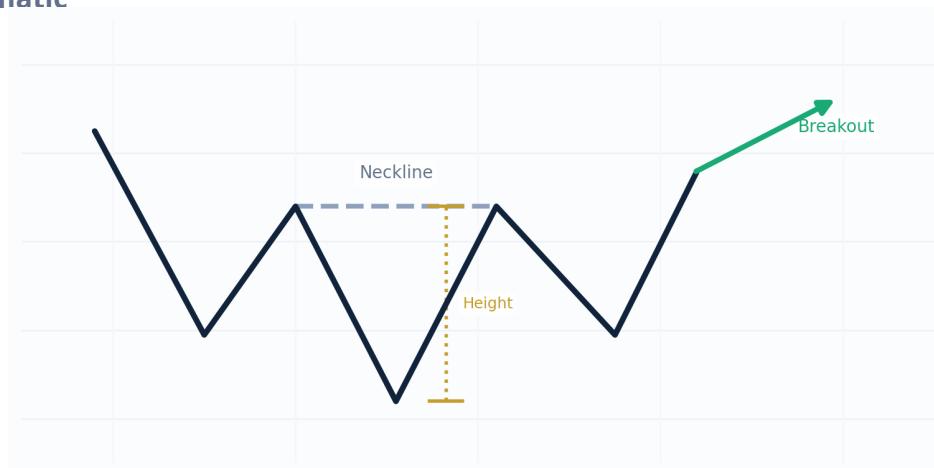
Trigger: Break above neckline

p. 6

Bullish

Reversal

Pattern schematic



Video lens: the shape finds the setup, but the actual trade still needs context, a confirming break, and a clean invalidation level.

How to identify it

- A prior downtrend forms a left trough, a deeper head, and then a higher right trough.
- The neckline connects the two rebound highs; price must clear it to confirm the reversal.
- The best versions show the right shoulder holding above the head, proving sellers are losing control.

What it usually signals

- The pattern shows demand stepping in earlier on the right shoulder after a final washout into the head.
- Once the neckline breaks, the market has evidence of a trend change rather than just a temporary bounce.

Recommended trade plan

- Entry can come on a strong close above the neckline or on a controlled pullback that respects the breakout.
- Place the stop below the right shoulder, or below the retest low if entering after the breakout.
- Use the head-to-neckline distance as the measured move and scale out into prior supply zones overhead.
- Best context: capitulation lows, higher-timeframe demand, and improving momentum after a prolonged decline.

Failure signs and filters

- Price pops above the neckline but falls back into the pattern and breaks the right-shoulder low.
- The neckline break lacks expansion and stalls immediately below a major resistance area.
- The structure appears before a meaningful downtrend has actually matured.

Double Top

Video label(s): Double Top

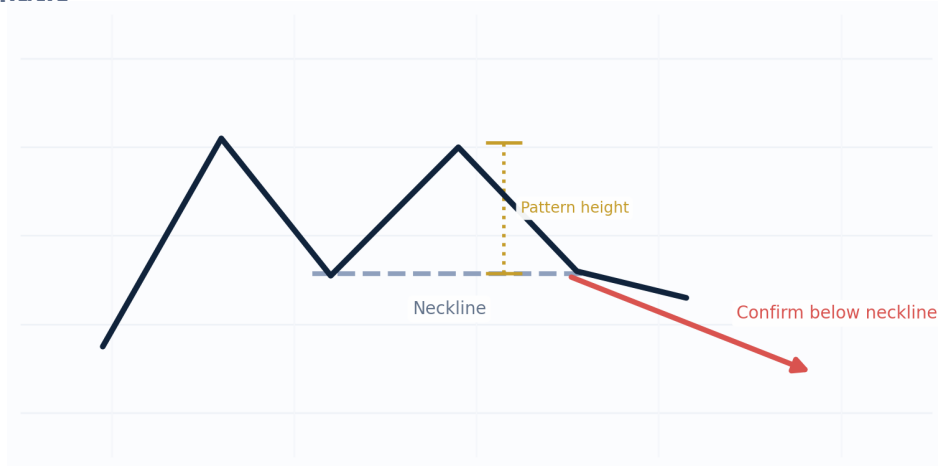
Trigger: Break below neckline

p. 7

Bearish

Reversal

Pattern schematic



Video lens: the shape finds the setup, but the actual trade still needs context, a confirming break, and a clean invalidation level.

How to identify it

- Two peaks form near the same resistance area with a clear pullback between them.
- The low between the peaks defines the neckline and the confirmation level.
- The second peak often shows weaker momentum, slower follow-through, or a failed breakout.

What it usually signals

- It reflects repeated seller defense at the same zone and buyer exhaustion after an uptrend.
- The trade idea is not confirmed until the neckline breaks; equal highs alone are not enough.

Recommended trade plan

- Wait for a decisive close below the neckline, or short a retest that fails beneath broken support.
- Keep the stop above the second high or above the retest rejection high, depending on entry style.
- A common objective is the height from the top to the neckline projected downward from the break.
- Best context: extended moves into obvious resistance where the second push cannot build acceptance above the first.

Failure signs and filters

- The second peak breaks cleanly and holds above resistance instead of rejecting.
- The neckline break instantly reverses and price snaps back into the middle of the range.
- The structure is tiny relative to recent volatility, making the measured move unreliable.

Double Bottom

Video label(s): Double Bottom

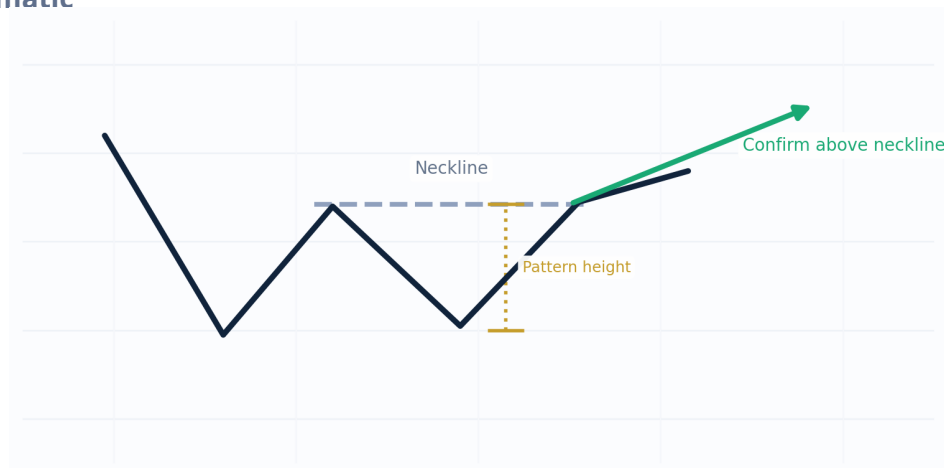
Trigger: Break above neckline

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Bullish

Reversal

Pattern schematic



Video lens: the shape finds the setup, but the actual trade still needs context, a confirming break, and a clean invalidation level.

How to identify it

- Two lows form near the same support area with a meaningful rally between them.
- The rebound high between the lows becomes the neckline and breakout trigger.
- The second low is most constructive when it fails to extend much below the first and is bought quickly.

What it usually signals

- It shows sellers failing to push the market materially lower at the same zone twice.
- The neckline breakout is what confirms a genuine base rather than a temporary oversold bounce.

Recommended trade plan

- Enter on a close above the neckline or on a retest that holds the breakout level as support.
- Stops usually belong below the second low or below the retest low after the break.
- Project the depth from the bottoms to the neckline upward as the first measured target.
- Best context: washed-out trends reaching higher-timeframe demand, followed by improving momentum and faster rebounds.

Failure signs and filters

- Price briefly clears the neckline but rolls back into the base and loses the second low.
- The pattern appears inside a larger, still-dominant downtrend with no higher-timeframe support nearby.
- The second low prints on heavy impulsive selling without any evidence of demand absorption.

Triple Top

Video label(s): Triple Top

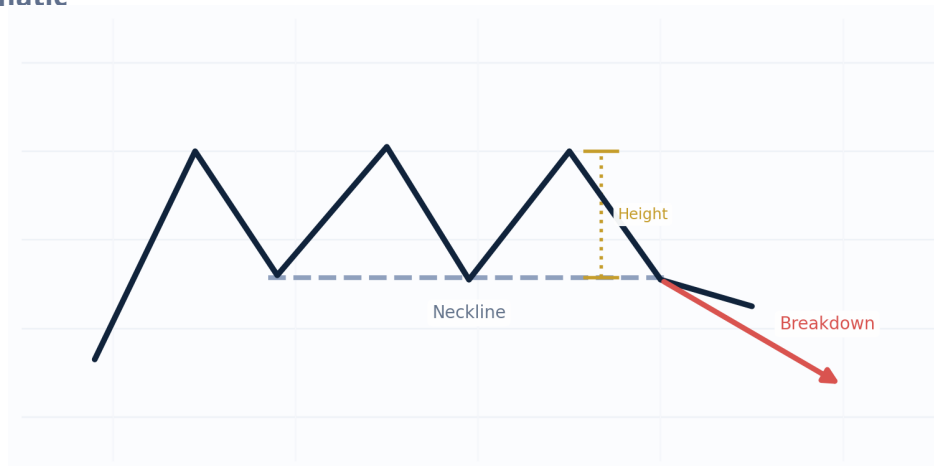
Trigger: Break below neckline

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Bearish

Reversal

Pattern schematic



Video lens: the shape finds the setup, but the actual trade still needs context, a confirming break, and a clean invalidation level.

How to identify it

- Three rallies stall in the same resistance zone with two pullbacks creating the neckline area.
- Each test of the highs fails to hold a breakout, showing repeated seller defense.
- Spacing matters: the swings should be distinct, not three tiny intrabar pokes at the same level.

What it usually signals

- Repeated rejection at the same ceiling shows supply overwhelming demand even after multiple attempts.
- The neckline break is the point where the base of the range finally gives way and reverses the structure.

Recommended trade plan

- Entry is typically below the neckline or on a failed retest after the breakdown.
- Invalidation sits above the third top or above the retest high if the entry comes later.
- Use the range height as the first downside objective and reduce risk if strong support sits underneath.
- Best context: slow distribution after a mature rally, especially when the third top is weaker than the first two.

Failure signs and filters

- The third test expands into a real breakout and the market holds above resistance.
- The range becomes noisy and directionless, creating whipsaws around the neckline.
- The downside break occurs into fresh demand without momentum follow-through.

Triple Bottom

Video label(s): Triple Bottom

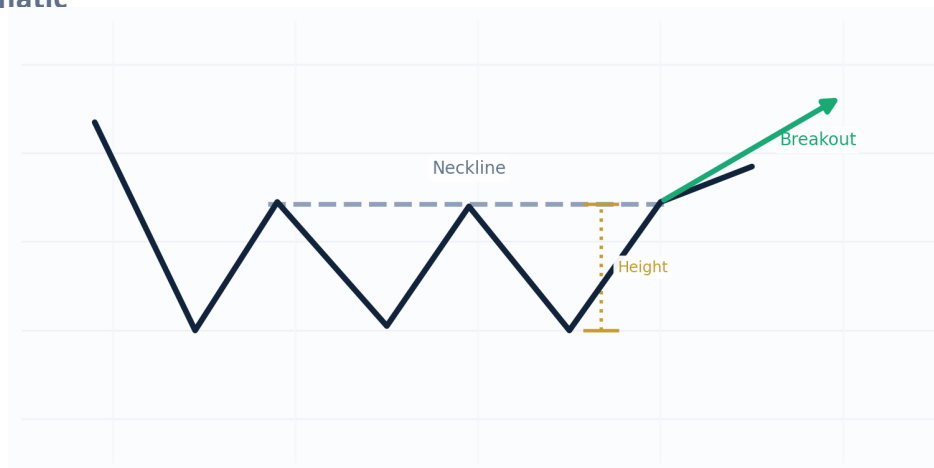
Trigger: Break above neckline

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Bullish

Reversal

Pattern schematic



Video lens: the shape finds the setup, but the actual trade still needs context, a confirming break, and a clean invalidation level.

How to identify it

- Three declines terminate in the same support zone while rebound highs define the neckline.
- Each touch of support is defended, showing sellers are not gaining traction.
- The clearest setups have distinct swing spacing and improving rebound quality into the third test.

What it usually signals

- It is a base-building pattern: repeated support holds and the market absorbs supply at the lows.
- The actual bullish confirmation comes only when price breaks through the neckline resistance above the range.

Recommended trade plan

- Buy the neckline breakout or a controlled pullback that successfully retests it from above.
- Stops usually go below the third bottom or below the retest low if you enter after confirmation.
- A practical target is the range height projected above the neckline, adjusted for overhead supply.
- Best context: prolonged selloffs into major support followed by increasingly strong rebounds from the floor.

Failure signs and filters

- Price breaks out but falls back into the range and then loses the floor.
- The third low arrives with accelerating downside momentum instead of demand absorption.
- The resistance area above the range is too crowded to give the breakout room.

Rising Wedge

Video label(s): Rising Wedge

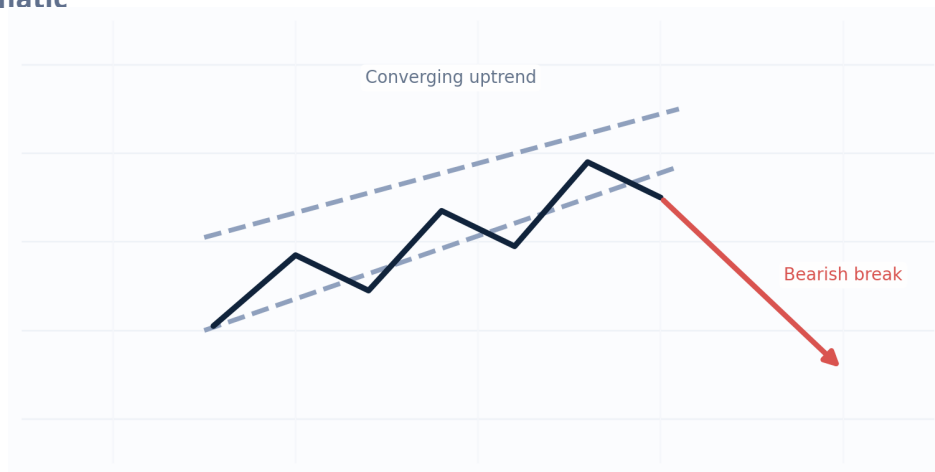
Trigger: Break below lower trendline

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Usually Bearish

Reversal / Continuation

Pattern schematic



Video lens: the shape finds the setup, but the actual trade still needs context, a confirming break, and a clean invalidation level.

How to identify it

- Price makes higher highs and higher lows, but the swings compress inside two converging upward lines.
- The lower boundary rises faster than the upper one, signaling a slowing advance.
- The most tradable wedges show at least three meaningful touches split between the two boundaries.

What it usually signals

- A rising wedge often represents an uptrend that is still climbing, but with weakening thrust and shrinking reward for new buyers.
- It can act as a reversal after a rally or as a bearish continuation pause inside a broader downtrend.

Recommended trade plan

- Wait for a decisive close beneath the lower boundary or a breakdown-retest failure before entering short.
- Place the stop above the last swing high inside the wedge or above the failed retest.
- Targets can use the height of the wedge's widest section or the nearest higher-timeframe support zone.
- Best context: overextended advances, weak volume/momentum on the final pushes, or wedges that form directly under resistance.

Failure signs and filters

- Price breaks above the upper line instead of beneath the lower line and then holds the breakout.
- The wedge is too steep and volatile, making trendlines unreliable.
- The bearish break occurs late with no space left before major support.

Falling Wedge

Video label(s): Falling Wedge

Trigger: Break above upper trendline

p. 12

Usually Bullish

Reversal / Continuation

Pattern schematic



Video lens: the shape finds the setup, but the actual trade still needs context, a confirming break, and a clean invalidation level.

How to identify it

- Price makes lower highs and lower lows, but the swings contract inside two converging descending lines.
- The upper boundary falls faster than the lower one, showing that downside momentum is decelerating.
- The setup is strongest when the final pushes lower fail to attract new selling pressure.

What it usually signals

- A falling wedge often shows sellers still in control directionally, but losing momentum with each swing.
- It can reverse an existing downtrend or mark a bullish continuation pause inside a broader uptrend.

Recommended trade plan

- Buy only after a clean close above the upper boundary or a retest that respects the broken line as support.
- Keep invalidation below the final wedge low or beneath the retest low if the entry comes later.
- Project the widest part of the wedge upward, and watch prior supply zones for staged profit-taking.
- Best context: selloffs into support, slowing downside momentum, and obvious failure to extend on the last leg down.

Failure signs and filters

- Price breaks beneath the lower line and expands lower instead of reclaiming the wedge.
- The wedge forms in noisy sideways action without a real trend to reverse or continue.
- The upside break runs straight into heavy overhead supply with no confirmation.

Bullish Rectangle

Video label(s): Bullish Rectangle

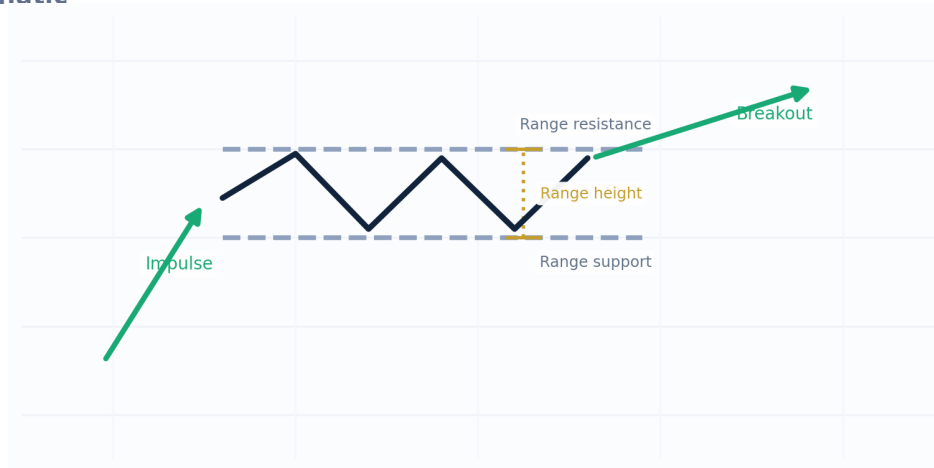
Trigger: Break above range resistance

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Bullish

Continuation

Pattern schematic



Video lens: the shape finds the setup, but the actual trade still needs context, a confirming break, and a clean invalidation level.

How to identify it

- A strong impulse is followed by a horizontal consolidation between clearly defined support and resistance.
- Swing highs keep failing near the same top of the box while lows hold a repeatable floor.
- The pattern should look like a pause, not a random choppy range that lasted too long.

What it usually signals

- The market is digesting an earlier advance without giving back much ground, which suggests accumulation or orderly pause behavior.
- Because rectangles are neutral until they break, bullish bias improves when the box forms after a clean prior uptrend.

Recommended trade plan

- Entry usually comes on a close above the range or a retest that turns former resistance into support.
- Stops can sit below the midpoint of the box for aggressive entries or below the range floor for conservative ones.
- Use the rectangle height as a measured objective from the breakout point.
- Best context: fresh impulse, tight orderly box, and a breakout that expands instead of immediately falling back inside.

Failure signs and filters

- Price continues oscillating inside the box and the breakout never sticks.
- The range lasts so long that it becomes a distribution zone instead of a pause.
- The upside break happens directly under a larger resistance shelf.

Bearish Rectangle

Video label(s): Bearish Rectangle

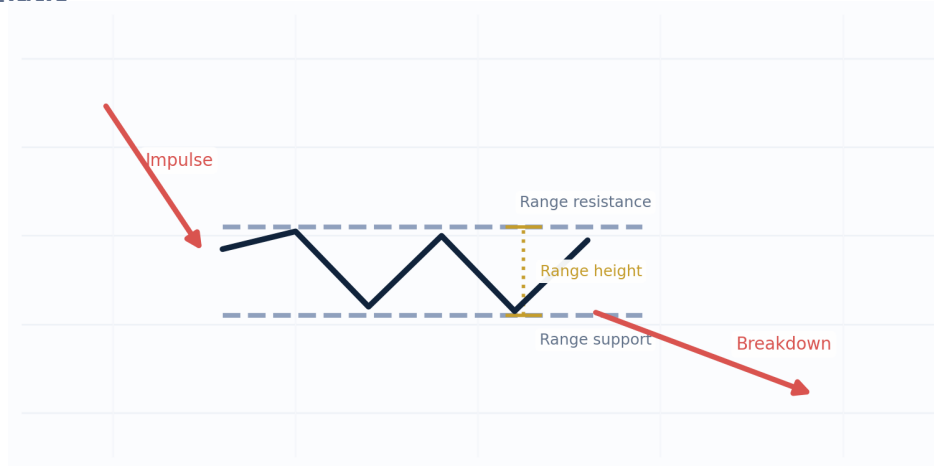
Trigger: Break below range support

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Bearish

Continuation

Pattern schematic



Video lens: the shape finds the setup, but the actual trade still needs context, a confirming break, and a clean invalidation level.

How to identify it

- A sharp decline pauses in a horizontal box with repeated support and resistance boundaries.
- Bounces remain capped while the market fails to recover meaningfully from the earlier drop.
- The structure should look like a pause after weakness, not a balanced long-term trading range.

What it usually signals

- It often reflects distribution or simple consolidation after an impulse lower.
- The bearish thesis is confirmed only when the bottom of the box breaks; until then it is just a range.

Recommended trade plan

- Short the support break or a weak retest that cannot reclaim the range floor.
- Stops can sit above the midpoint of the box for tight risk or above the range high for full invalidation.
- Project the box height downward from the breakdown and watch for reactions into known demand zones.
- Best context: strong prior selloff, weak countertrend bounces, and breakdown momentum that expands on exit.

Failure signs and filters

- Price snaps back into the box and then reclaims its midpoint after the initial breakdown.
- The box forms after a long decline and actually becomes an exhaustion base.
- The range is too wide relative to volatility, making stops unattractive for the expected reward.

Bullish Flag

Video label(s): Bullish Flag

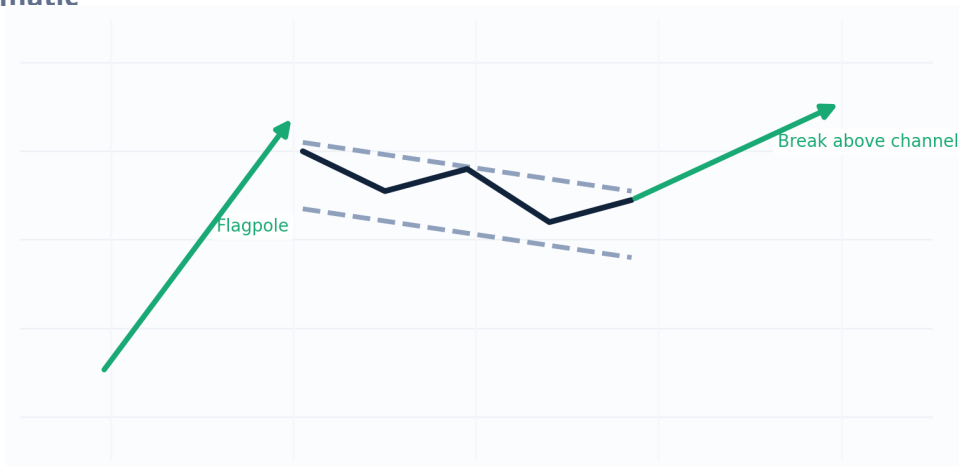
Trigger: Break above channel

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Bullish

Continuation

Pattern schematic



Video lens: the shape finds the setup, but the actual trade still needs context, a confirming break, and a clean invalidation level.

How to identify it

- A steep flagpole advance is followed by a short pullback channel that slopes slightly downward.
- The pullback retraces only part of the impulse and stays orderly rather than collapsing.
- Duration matters: flags are usually short pauses, not long bases.

What it usually signals

- The pattern suggests strong trend participants are taking a controlled pause without giving up the larger bullish structure.
- A break out of the flag indicates continuation once the pullback pressure is absorbed.

Recommended trade plan

- Buy a clean break of the upper channel line or a retest that respects it after breakout.
- Invalidation often sits below the low of the flag, not below the entire flagpole origin.
- A common target is a partial or full projection of the flagpole from the breakout area.
- Best context: strong momentum trend, shallow pullback, and a breakout that resumes impulse behavior quickly.

Failure signs and filters

- The pullback gets too deep and starts to look like a trend reversal rather than a pause.
- Price breaks up but cannot hold above the channel and falls back into the pattern.
- The flag forms directly into major overhead resistance where continuation room is limited.

Bearish Flag

Video label(s): Bearish Flag

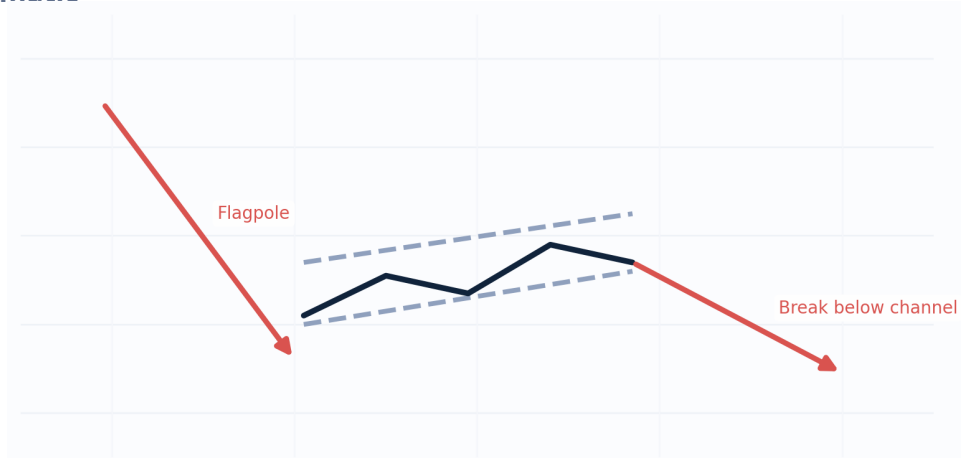
Trigger: Break below channel

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Bearish

Continuation

Pattern schematic



Video lens: the shape finds the setup, but the actual trade still needs context, a confirming break, and a clean invalidation level.

How to identify it

- A strong downside flagpole is followed by a brief rising or sideways channel against the trend.
- The rebound is orderly and corrective, not impulsive enough to reverse the larger move.
- The best patterns stay compact; long drifting channels often lose their edge.

What it usually signals

- It shows a temporary relief bounce after aggressive selling, with the larger bearish trend still intact.
- The continuation signal arrives when price exits the lower side of the flag and resumes impulse selling.

Recommended trade plan

- Enter on the break below the lower channel line or on a failed retest from underneath.
- Stops are commonly placed above the flag high or above the retest failure point.
- Project some or all of the flagpole downward from the breakdown to estimate the move.
- Best context: strong bearish momentum, shallow corrective bounce, and continuation room into lower prices.

Failure signs and filters

- The bounce turns impulsive and breaks above the flag instead of rolling over.
- The breakdown lacks follow-through and price quickly re-enters the flag.
- The pattern forms after a climactic selloff where an exhaustion reversal is more likely.

Bullish Pennant

Video label(s): Bullish Pennant

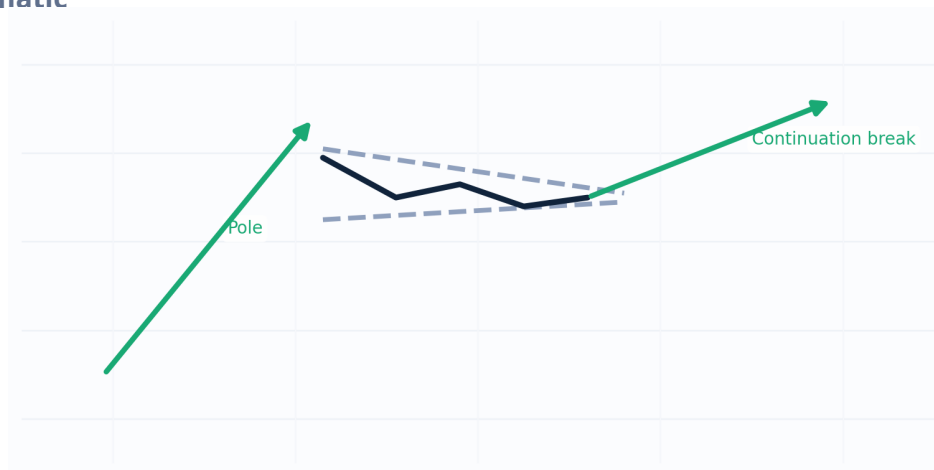
Trigger: Break above pennant

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Bullish

Continuation

Pattern schematic



Video lens: the shape finds the setup, but the actual trade still needs context, a confirming break, and a clean invalidation level.

How to identify it

- A sharp pole up is followed by a small contracting triangle with converging trendlines.
- The consolidation is shorter and tighter than a large base or broad triangle.
- The pennant should appear after momentum, not out of flat range conditions.

What it usually signals

- It reflects a quick pause in a strong trend while short-term traders take profits and new buyers absorb supply.
- A valid upside break signals that the original impulse may be resuming.

Recommended trade plan

- Buy the upside break or the first successful retest that holds above the pennant boundary.
- Stops usually go below the pennant low or under the retest low for tighter risk.
- Use the flagpole length as the classic measured continuation target, adjusted for overhead resistance.
- Best context: fast impulse move, compact consolidation, and a breakout with visible momentum expansion.

Failure signs and filters

- The consolidation lasts too long and becomes a larger distribution or neutral triangle.
- Price breaks up briefly but drops back inside the pennant.
- There is no meaningful pole leading into the pattern, which weakens the continuation logic.

Bearish Pennant

Video label(s): Bearish Pennant

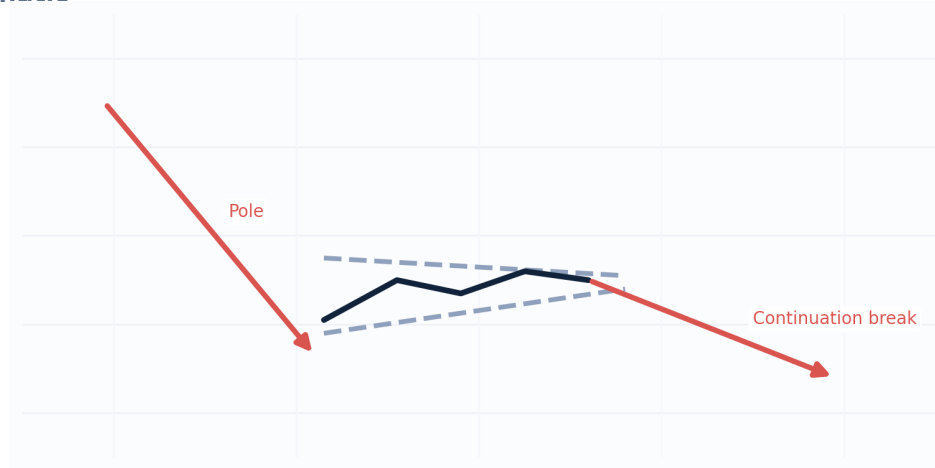
Trigger: Break below pennant

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Bearish

Continuation

Pattern schematic



Video lens: the shape finds the setup, but the actual trade still needs context, a confirming break, and a clean invalidation level.

How to identify it

- A strong pole down is followed by a compact converging triangle that drifts against the decline.
- The pause should stay relatively small compared with the size of the flagpole.
- The shape is cleanest when the pattern forms quickly after the impulse.

What it usually signals

- The pennant marks a temporary pause after aggressive selling, not a durable reversal by itself.
- A downside break implies the original selloff may continue after the corrective pause ends.

Recommended trade plan

- Short the confirmed break below the pennant or a weak retest that cannot reclaim it.
- Set the stop above the pennant high or above the retest failure point.
- Project the flagpole downward from the break for a classical target, while respecting demand below.
- Best context: strong prior downside momentum, short pause, and clean rejection of any upside retest.

Failure signs and filters

- The triangle expands into a larger base and loses its compact continuation character.
- Price breaks lower but instantly returns to the middle of the pennant.
- The pattern develops after a deeply extended selloff where a squeeze is more likely.

Bullish Symmetrical Triangle

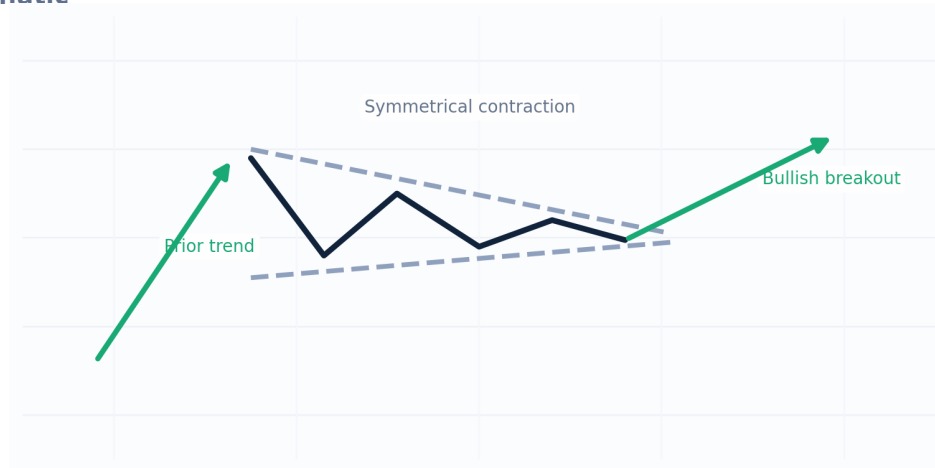
Video label(s): Bullish Symmetrical Triangle, Symmetrical Contracting Triangle

Trigger: Break above upper trendline

Bullish if upside break

Bilateral / Continuation

Pattern schematic



Video lens: the shape finds the setup, but the actual trade still needs context, a confirming break, and a clean invalidation level.

How to identify it

- Price coils between lower highs and higher lows, creating a contracting triangle.
- At least four alternating touches help validate the shape; fewer touches are weaker.
- For the bullish version, the pattern is most reliable after an existing uptrend or bullish context.

What it usually signals

- A symmetrical triangle is neutral by shape, so the breakout direction matters more than the geometry alone.
- An upside resolution shows buyers winning the contraction and reclaiming trend control.

Recommended trade plan

- Do not force the long early; wait for a close above the upper line or a solid retest that holds.
- Stops usually sit beneath the last higher low inside the triangle or beneath the retest low.
- Measure the widest part of the triangle and project it upward from the breakout point.
- Best context: prior uptrend, contracting volatility, and a breakout before price drifts too close to the apex.

Failure signs and filters

- Price breaks up without expansion and then falls back into the triangle.
- The pattern reaches the extreme apex and loses energy before breaking.
- A higher-timeframe resistance zone sits immediately above the breakout.

Bearish Symmetrical Triangle

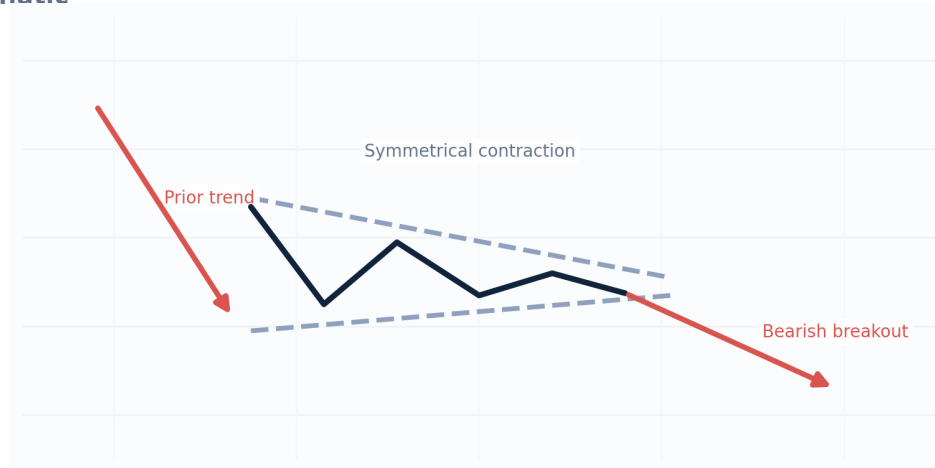
Video label(s): Bearish Symmetrical Triangle, Symmetrical Contracting Triangle

Trigger: Break below lower trendline

Bearish if downside break

Bilateral / Continuation

Pattern schematic



Video lens: the shape finds the setup, but the actual trade still needs context, a confirming break, and a clean invalidation level.

How to identify it

- The structure contracts between lower highs and higher lows, creating a balanced triangle.
- It becomes the bearish version only when price resolves down, ideally in line with prior downside context.
- Good setups show clean alternating swings rather than noisy overlapping candles.

What it usually signals

- The triangle itself is neutral; the bearish thesis needs a confirmed downside resolution.
- A valid break lower shows sellers winning the volatility contraction and reasserting trend pressure.

Recommended trade plan

- Enter short on the downside break or on a retest that fails under the broken lower boundary.
- Stops often go above the last lower high inside the triangle or above the retest high.
- Project the widest section of the triangle downward for an initial target, then watch demand zones.
- Best context: prior downtrend, compressing volatility, and a break that occurs before the pattern goes stale at the apex.

Failure signs and filters

- Price breaks down but immediately re-enters the triangle and grinds back to the center.
- The setup appears in a strong higher-timeframe uptrend with no contextual support for the short.
- The break happens directly into a major support shelf.

Bullish Expanding Triangle

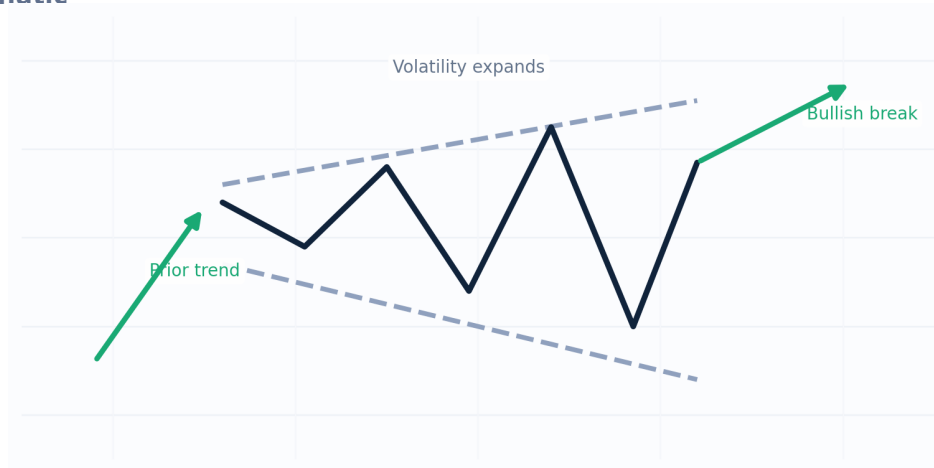
Video label(s): Bullish Expanding Triangle

Trigger: Break above upper boundary

Bullish if upside break

Bilateral / Volatility Expansion

Pattern schematic



Video lens: the shape finds the setup, but the actual trade still needs context, a confirming break, and a clean invalidation level.

How to identify it

- Swing highs get higher while swing lows get lower, so the boundaries diverge instead of contract.
- Volatility expands with each oscillation, creating larger and often emotional swings.
- The bullish version requires an upside resolution; the pattern itself is not automatically bullish.

What it usually signals

- This structure shows instability and disagreement, not tidy accumulation.
- When it finally breaks upward, it suggests buyers have overpowered the increasingly wild swings.

Recommended trade plan

- Prefer confirmation on a decisive close above the upper boundary; aggressive entries inside the formation are often too noisy.
- Because volatility is larger here, stops usually need to sit below the last major swing low and position size should be smaller.
- Targets can use the widest part of the structure or the next clear resistance zone, but manage actively because these patterns whip hard.
- Best context: strong trend backdrop, expanding swings, and a breakout with genuine follow-through rather than a one-candle spike.

Failure signs and filters

- The upside break stalls instantly and price dives back into the broadening range.
- Risk is too wide relative to the target because the swings have become extreme.
- Traders mistake every boundary touch for a breakout instead of waiting for a real close outside.

Bearish Expanding Triangle

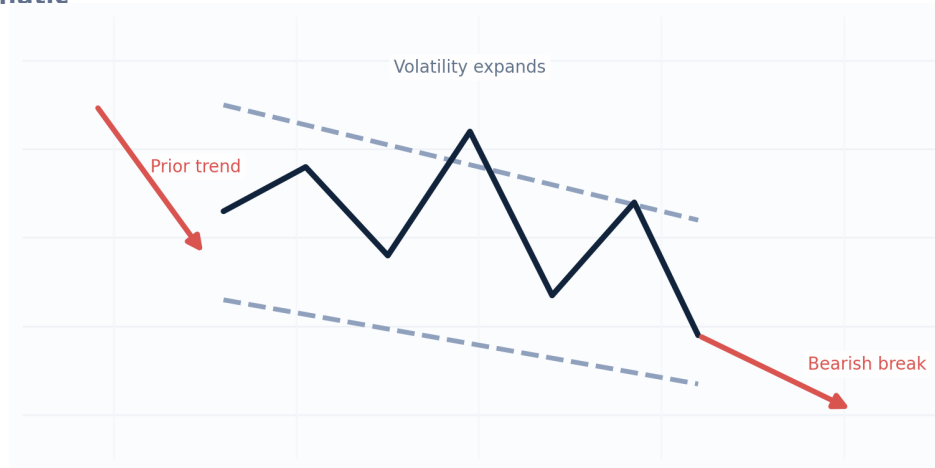
Video label(s): Bearish Expanding Triangle

Trigger: Break below lower boundary

Bearish if downside break

Bilateral / Volatility Expansion

Pattern schematic



Video lens: the shape finds the setup, but the actual trade still needs context, a confirming break, and a clean invalidation level.

How to identify it

- The pattern broadens as highs and lows spread apart, showing increasing volatility.
- Swing structure becomes more violent rather than more compressed.
- A bearish interpretation needs a downside break; the geometry alone is not enough.

What it usually signals

- Broadening formations often reflect emotional trading and unstable order flow.
- A confirmed breakdown suggests sellers have won the final volatility battle and may push the next impulse lower.

Recommended trade plan

- Short only after a clear close below the lower boundary or a failed retest from underneath.
- Use wider structural stops above the last major swing high and reduce size to reflect the volatility.
- Targets can project the formation's widest span downward, but take partials earlier if demand sits nearby.
- Best context: bearish backdrop, failed upside recoveries, and a breakdown that expands rather than hesitates.

Failure signs and filters

- The break lower is only a wick and price immediately snaps back into the range.
- The formation is so wide that the stop distance destroys the reward-to-risk profile.
- A strong higher-timeframe support zone sits directly under the lower boundary.

Ascending Triangle

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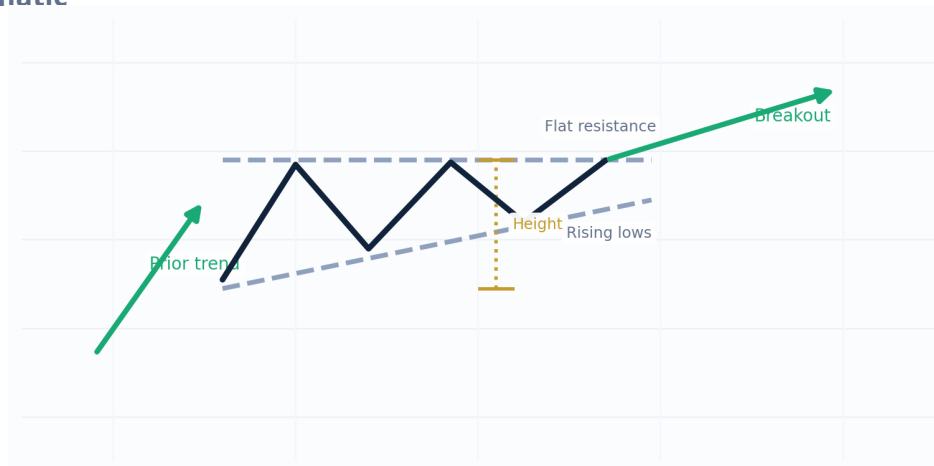
Video label(s): Bullish Ascending Triangle, Ascending Triangle

Trigger: Break above flat resistance

Usually Bullish

Continuation / Reversal

Pattern schematic



Video lens: the shape finds the setup, but the actual trade still needs context, a confirming break, and a clean invalidation level.

How to identify it

- Highs repeatedly hit a flat resistance line while lows rise into that ceiling.
- The sequence of higher lows shows buyers are getting more aggressive over time.
- The cleaner the resistance touches and rising lows, the more readable the pattern becomes.

What it usually signals

- Ascending triangles often favor buyers because demand keeps stepping in earlier while supply stays fixed.
- That said, the trade is still confirmed by the breakout; resistance can hold longer than expected.

Recommended trade plan

- Buy the close above resistance or a retest that flips the old ceiling into support.
- Stops can sit below the last higher low inside the triangle or below the retest low.
- Project the height of the triangle upward from the breakout to estimate the move.
- Best context: prior uptrend or base-building near support, with a breakout before price gets too close to the apex.

Failure signs and filters

- Price pokes above resistance but falls back into the pattern and loses the last higher low.
- The breakout happens after the triangle has already drifted to the apex and lost energy.
- The pattern forms straight into a larger resistance zone that caps the move.

Descending Triangle

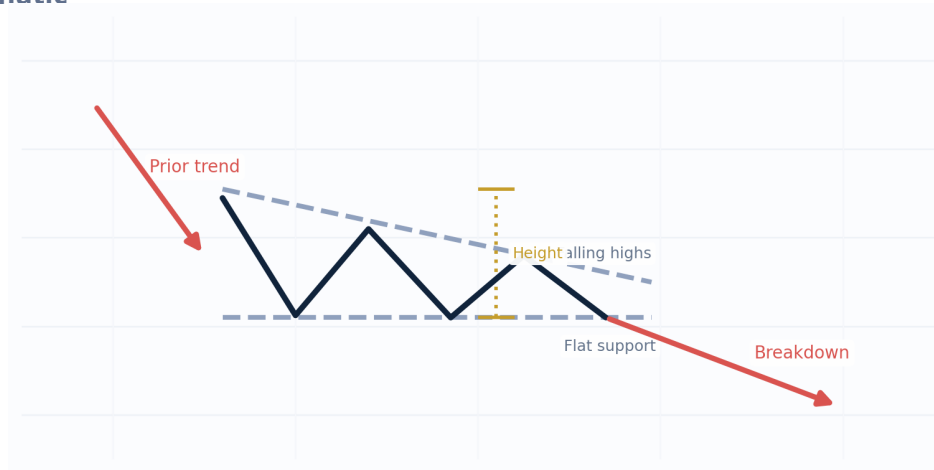
Video label(s): Bearish Descending Triangle, Descending Triangle

Trigger: Break below flat support

Usually Bearish

Continuation / Reversal

Pattern schematic



Video lens: the shape finds the setup, but the actual trade still needs context, a confirming break, and a clean invalidation level.

How to identify it

- Lows keep testing the same horizontal support while highs step lower into that floor.
- Each rally fails earlier than the last, showing sellers pressing the market down.
- The pattern is most useful when the support level is obvious and the lower-high sequence is clean.

What it usually signals

- Descending triangles typically lean bearish because supply keeps arriving sooner while support absorbs repeated tests.
- The actual trade idea triggers only if support finally gives way on a confirmed breakdown.

Recommended trade plan

- Short a clean close below support or a retest that rejects the broken floor from underneath.
- Stops often go above the last lower high inside the triangle or above the retest high.
- Project the height of the triangle downward from the breakdown level for an initial objective.
- Best context: prior downtrend, repeated pressure on support, and a downside break with momentum expansion.

Failure signs and filters

- Support breaks only briefly and price quickly reclaims it, trapping the short.
- The level has already been tested too many times and become sloppy rather than clean.
- The breakdown occurs directly into a major demand zone.

Cup & Handle

Video label(s): Cup & Handle

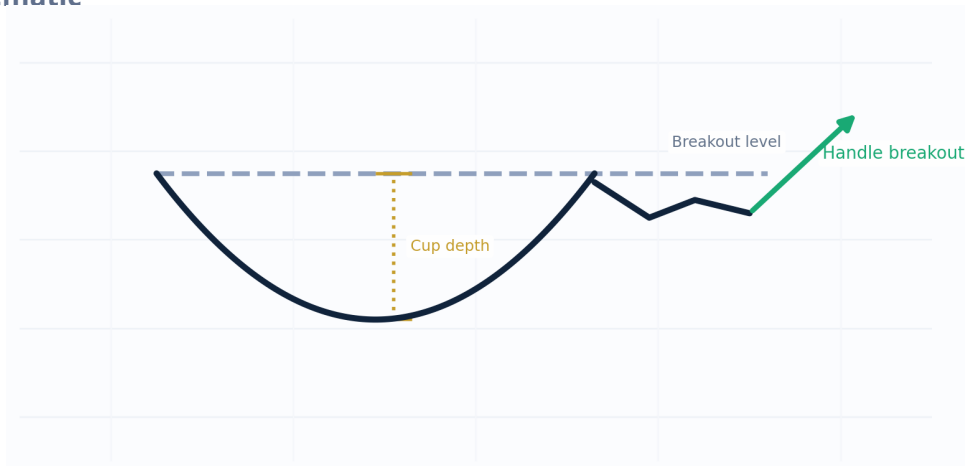
Trigger: Break above handle / rim

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Bullish

Continuation / Base

Pattern schematic



Video lens: the shape finds the setup, but the actual trade still needs context, a confirming break, and a clean invalidation level.

How to identify it

- A rounded cup forms as price recovers from a decline and returns to prior resistance.
- A smaller handle then pulls back or drifts sideways without damaging the broader base.
- The handle should stay relatively shallow compared with the depth of the cup.

What it usually signals

- The cup shows a full repair of prior weakness, while the handle acts as the final shakeout before breakout.
- When price clears the rim or handle resistance, the market may transition from base-building to trend continuation.

Recommended trade plan

- Entry is usually on the handle breakout or a retest that holds above the rim area.
- Stops are commonly placed below the handle low, with wider traders using the base of the handle structure.
- The classic target uses the cup depth projected upward from the breakout zone.
- Best context: constructive base after a correction, rounded recovery, and a handle that stays controlled rather than sloppy.

Failure signs and filters

- The handle retraces too deeply and starts to negate the repaired structure.
- Price clears the rim but cannot hold above it and falls back into the cup.
- The cup is too V-shaped and fast, making the pattern less durable than a rounded base.

Reverse Cup & Handle

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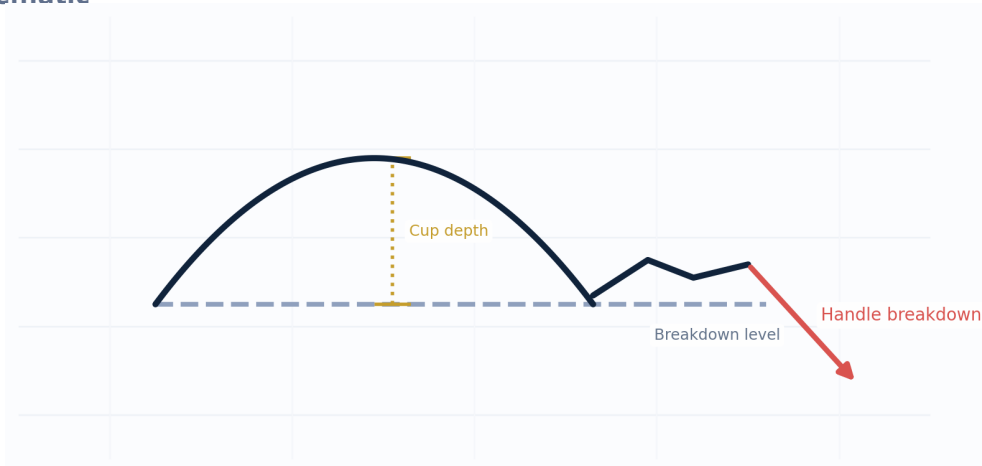
Bearish

Video label(s): Reverse Cup & Handle

Trigger: Break below handle / rim

Continuation / Distribution

Pattern schematic



Video lens: the shape finds the setup, but the actual trade still needs context, a confirming break, and a clean invalidation level.

How to identify it

- An inverted rounded top develops as price falls, bounces back toward resistance, and rolls over again.
- A smaller handle forms as a weak recovery or sideways pause near the underside of the rim.
- The handle should remain relatively shallow; a strong squeeze higher weakens the setup.

What it usually signals

- The inverted cup shows that rebounds are being sold, while the handle marks the last pause before potential continuation lower.
- A breakdown through the handle confirms that sellers remain in control.

Recommended trade plan

- Short the breakdown below the handle or the first failed retest after support gives way.
- Stops are commonly placed above the handle high or above the retest failure point.
- Project the depth of the cup downward from the breakdown area for a measured objective.
- Best context: broader downtrend, weak recoveries, and clean rejection near former support turned resistance.

Failure signs and filters

- The handle expands into a genuine bullish reversal and breaks back above the rim area.
- The pattern appears after an already exhausted selloff with no room left below.
- The breakdown comes without expansion and is reclaimed immediately.

Execution and risk checklist

The most expensive mistake is treating an unfinished pattern as a completed signal.

Practical rules

- Wait for structure + trigger. A pattern is only a setup until price breaks the confirming level.
- Use zones rather than single-tick precision, especially around key highs, lows, and necklines.
- Take the lower-timeframe entry only after the higher-timeframe idea is already in place.
- Place stops beyond invalidation - not where you simply wish the trade to work.
- If the pattern breaks into nearby opposing liquidity, reduce target expectations or skip it.
- When volatility is unusually wide, cut position size instead of pretending the stop can be tighter.

Common failure modes

- Late apex breakouts: triangles that drift too close to the tip often lose energy.
- False breaks: the market exits the pattern, fails to follow through, and re-enters quickly.
- Crowded targets: the measured move looks good, but major support or resistance sits too close.
- Pattern forcing: every random range or zig-zag is not a valid structure.
- Oversized stop: broadening formations and loose ranges can ruin reward-to-risk even when direction is right.
- Countertrend bias: the pattern fights the dominant higher-timeframe move without a compelling location.

A repeatable management plan

- 1 Before entry**
Mark the confirming level, invalidation point, nearby liquidity, and the first logical partial-taking zone.
- 2 At entry**
If you enter on breakout, accept that retests can happen. If you enter on retest, accept that some breakouts will run without you.
- 3 After confirmation**
When price expands in your direction, reduce risk progressively rather than waiting for perfection.
- 4 If it fails**
Reclaims of the neckline, triangle, flag, or handle often tell you the premise changed. Exit because the structure changed, not because of emotion.

Reference notes

Pattern definitions were cross-checked against classical technical-analysis references.

Sources used for the handbook

- Supplied YouTube video: source pattern list and overall lesson framing.
- Indexed transcript snippets from the supplied video: multi-timeframe confirmation, fakeout awareness, and zone-based level reading.
- Investopedia: head and shoulders, descending triangle, cup and handle, rectangles, flags, pennants, wedges, and double/triple top-bottom references.
- StockCharts ChartSchool: ascending triangle and symmetrical triangle references.
- New Trader U: broad chart-pattern classification, confirmation ideas, and measured-move/risk framing.

How the handbook was assembled

What came from the video

- Exact video labels were mapped to handbook pages so overlapping names are easy to find.
- Where the video used directional labels for the same geometry, the handbook splits those into separate actionable pages.

What was added

- Pattern pages keep the same sequence: identify the structure, understand the message, plan the trade, then check failure signs.
- Graphics are schematic on purpose: they are designed to teach the structure quickly, not to mimic one market or timeframe.

Disclaimer

This handbook is educational content, not individualized financial advice. Markets can invalidate textbook patterns quickly. Use independent judgment, position sizing, and risk controls before acting on any setup.

Suggested use

Keep the PDF open as a pattern checklist while reviewing charts: identify the structure, wait for confirmation, map the invalidation, then decide whether the reward still justifies the risk.